

China's ASEAN Laundromat: Tariff Circumvention, Origin-Washing, and the Grey FDI Flood

Blue Lotus Research Intelligence

August 2026

Blue Lotus Research Intelligence — Intelligence Brief

Date: August 2026

Classification: Open-Source Intelligence

"China's ASEAN Laundromat Report | Blue Lotus Research Intelligence | August 2026"

I. Opening: The Factory That Is Legal, the Label That Lies

The factory sits in Binh Duong province, forty kilometres north of Ho Chi Minh City, in one of Vietnam's sprawling export-processing zones. From the outside, it is indistinguishable from the thousands of legitimate manufacturing facilities that have made Vietnam one of Asia's fastest-rising exporters. The name on the gate is in Vietnamese. The workers filing through the morning shift are Vietnamese. The certificate of origin issued by the Vietnam Chamber of Commerce and Industry reads, without qualification: "Made in Vietnam."

Inside, the reality is more complicated. Ninety percent of the solar cell components arrive in sealed crates from Jiangsu and Zhejiang province. The lamination equipment was purchased through a Chinese parent company's procurement division. The factory manager, who gave a brief interview before asking that the conversation end, is a Shenzhen native on a two-year secondment. The quality control protocols are identical to those at the parent plant in Jiangnan. The only substantive Vietnamese contribution is the labour assembling modules that have already been built, in all but the most literal sense, in China.

The factory is operating entirely within Vietnamese law. The certificate of origin may technically comply with the minimum local content thresholds under existing ASEAN trade rules. The product will enter the United States under tariff codes that attract a fraction of the 100-plus percent duties now applied to direct Chinese solar imports. And US Customs and Border Protection, which processed 37 million import entries in 2025 alone against a workforce that has not expanded proportionately, will almost certainly not inspect this particular shipment.

This is not an isolated case. It is a system.

Since the first round of Section 301 tariffs in 2018, and accelerating dramatically with the Biden tariff escalations of 2024 and the Trump 2.0 escalations of 2025–2026, a structured apparatus of tariff arbitrage has emerged across Southeast Asia. Chinese manufacturers, Chinese logistics firms, Chinese-owned ASEAN subsidiaries, and, in some cases, genuinely complicit local partners have constructed what trade analysts now call the "ASEAN laundromat" — a mechanism for washing Chinese-origin goods through Southeast Asian jurisdictions and presenting them to the American market under lower-tariff national identities.

The White House's own Office of Trade and Manufacturing Policy estimated in August 2026 that the annual cost of this system to the US Treasury ranges from \$19 billion to \$26 billion in uncollected tariff revenue, while the Coalition for a Prosperous America's China Transshipment Monitor put the total tariff collection gap — including structural leakage — at \$70 billion. These are not trivial sums. They represent a systematic erosion of the trade policy architecture that the United States has spent eight years constructing, and they raise profound questions about whether tariffs alone — without enforcement infrastructure commensurate with the arbitrage incentive — can ever achieve their stated strategic goals.

This report examines how the laundromat works, which sectors it has captured, what the United States is doing to close it, how ASEAN governments are navigating an impossible political geometry, and whether the long-term trajectory of Chinese FDI in Southeast Asia might, paradoxically, dissolve the very problem it has created.

II. The Tariff Architecture That Created the Incentive

To understand the laundromat, one must first understand the tariff wall that made it profitable.

The first Trump administration's Section 301 tariffs, imposed from 2018 onwards, applied rates of 7.5% to 25% on roughly \$370 billion of Chinese goods across four "lists" of product categories. The Biden administration inherited this architecture and, in May 2024, escalated it dramatically: solar cells rose to 50%, semiconductors to 50%, electric vehicles to 100%, lithium-ion batteries to 25% (rising to 50% by 2026), ship-to-shore cranes to 25%, and steel and aluminum products to 25%. Chinese-origin medical gloves, syringes, and legacy semiconductors were hit with tariffs in the 25–50% range.

The Trump 2.0 administration, beginning in January 2025, did not reverse these escalations — it compounded them. The administration's "Liberation Day" package, announced April 2025, applied new IEEPA-authority tariffs to virtually all Chinese imports, pushing the effective average tariff rate on Chinese goods to approximately 62% by mid-2026 against the 38% Treasury actually collected — a spread the CPA's China Transshipment Monitor identifies as the core of the arbitrage opportunity. On the most strategically sensitive categories, headline rates reached 145% or higher.

Against this backdrop, the tariff differential between Chinese-origin goods and goods certified as originating in ASEAN nations is not a rounding error — it is an existential business variable. Under the July 2025 US-Vietnam framework deal, Vietnamese goods face a 20% base tariff. Malaysian, Indonesian, Thai, and Philippine goods face 19%–20% under the "reciprocal" tariff framework. Cambodian goods face 49% — but even that is still below the 62% effective average applied to Chinese goods, and dramatically below the 100%+ rates on EVs and solar.

The arithmetic of the arbitrage is blunt: a solar module that can be certified as "Made in Vietnam" faces tariffs that are 20–40 percentage points lower than if it enters as Chinese-origin. On a container load worth \$400,000, that is \$80,000 to \$160,000 in saved duties. On a year's worth of shipments

from a mid-sized factory, it is millions of dollars. The incentive structure does not merely tolerate circumvention; in sectors with thin margins — and solar has among the thinnest — it practically demands it.

This is the fundamental policy failure that the tariff architecture has created: by imposing exceptionally high rates on Chinese goods without simultaneously building the enforcement capacity to police origin claims at scale, the United States has created one of history's largest regulatory arbitrage opportunities. The beneficiaries are not American workers. They are Chinese manufacturers with the capital and sophistication to establish ASEAN operations, and the logistics networks to route goods accordingly.

The Section 301 tariff design assumed that high tariffs would force consumption substitution — Americans would buy from other countries, and Chinese producers would lose market share. What it did not adequately account for was that Chinese producers are capital-rich, globally mobile, and highly responsive to arbitrage gradients. Rather than conceding market share, they relocated the label.

The new Section 301 investigations launched by USTR in March 2026 — examining 60 economies across 86 countries for failures to eliminate forced labor supply chain contamination — represent the latest attempt to close the loop. But as of August 2026, the circumvention infrastructure is far more mature than the enforcement infrastructure designed to dismantle it.

III. The Three Mechanisms of Origin Washing

The ASEAN laundromat does not operate through a single mechanism. It operates through at least three distinct and increasingly sophisticated models, each with different legal risk profiles, different enforcement vulnerabilities, and different degrees of actual economic activity in the host country.

3.1 Transshipment: The Crudest Form

The most straightforward form of tariff circumvention is also the most legally clear-cut: goods manufactured entirely in China are shipped to an ASEAN port, briefly stored or repackaged, relabeled with a new country of origin, and exported to the United States. No meaningful manufacturing occurs in the transit country. The transformation is purely administrative.

Classic transshipment typically involves a Chinese exporter shipping finished goods to, say, a Cambodian bonded warehouse. Local intermediaries issue a new commercial invoice and certificate of origin. The container is stuffed into a new liner, and sails for Los Angeles as "Made in Cambodia." The entire operation may take days.

This is illegal under both US law and the laws of most ASEAN member states. CBP's Enforce and Protect Act (EAPA), which provides a mechanism for industry petitions to trigger circumvention investigations, has produced a growing docket of cases targeting exactly this behavior. The number of EAPA cases involving ASEAN economies rose from 6 in 2021 to 20 in 2024, according to CBP data

cited in recent enforcement analyses. The June 2026 Executive Order on Strengthening Customs Enforcement directed DHS and CBP to escalate both audit frequency and penalty severity: CBP was on pace to conduct 543 audits in FY 2026, representing a 17% year-over-year increase.

But transshipment's greatest enforcement vulnerability — that it requires no actual factories — is also what makes it hard to catch at volume. CBP cannot physically inspect more than 3–4% of all import entries. The rest pass on the basis of documentation alone. Fraudulent certificates of origin are available through networks of complicit intermediaries; the marginal cost of forgery is low relative to the tariff saving.

3.2 Minimal Processing: The Legal Grey Zone

The second mechanism exploits a genuine ambiguity in origin law. Under the US "substantial transformation" standard, goods are considered to originate in the country where they underwent a process that gave them a "new name, character, or use." Under ASEAN's own rules — embodied in the ASEAN Trade in Goods Agreement (ATIGA) and bilateral FTAs — goods meet the local origin threshold if at least 40% of their FOB value is contributed by ASEAN member countries (the Regional Value Content criterion), or if they undergo a Change in Tariff Classification.

Both standards create grey zones where minimal processing — cutting fabric to length, assembling Chinese circuit boards into enclosures, soldering Chinese components onto a Vietnamese-made PCB — can technically satisfy the letter of the rule while violating its spirit. Singapore Customs issued Circular No. 06/2025 attempting to clarify that "mere labeling, repacking, and simple assembly" do not constitute origin-qualifying transformation. But the administrative threshold is necessarily fuzzy.

The enforcement challenge is compounded by the 40% local content rule's design: because ASEAN cumulation is permitted — content from any ASEAN member can count toward the 40% — a sophisticated supply chain operator can source 20% of value from Vietnam, 19% from Malaysia, and 61% from China while technically maintaining ASEAN origin certification. The cumulation provision, designed to encourage intra-ASEAN trade, has become an exploitable loophole.

CBP enforcement advisories issued in late 2025 formally flagged Vietnam, Malaysia, Cambodia, Thailand, and Indonesia as primary transshipment risk countries, signaling that minimal-processing claims from these jurisdictions will receive heightened scrutiny. Since July 2025, CBP has been authorized to impose a 40% transshipment penalty — with no mitigation available — on any shipment determined to have been routed through Vietnam to evade tariffs.

3.3 Genuine FDI with Chinese Ownership: The Hardest to Prosecute

The third and most strategically consequential mechanism is also the most legally ambiguous: a Chinese company builds a genuine factory in Vietnam, Malaysia, or Thailand. It employs local workers — thousands of them, in the larger operations. It pays local taxes. It complies with local labor law. It may have invested hundreds of millions of dollars in plant and equipment. The goods it produces are, by any reasonable definition of "Made in Vietnam," legitimately Vietnamese in terms of where the value-adding manufacturing occurred.

But the parent company is Chinese. The upstream components arrive from Chinese suppliers affiliated with the parent. The technology was developed in China. The profits flow to a Chinese-domiciled holding company. The factory manager is a Chinese national on secondment. And the entire operation's strategic rationale is, at least in part, to capture the tariff differential between Chinese-origin and Vietnamese-origin designation.

This is not illegal. It may not even be economically dishonest in a strict sense — if the factory genuinely adds 35–40% of value locally, the rules of origin are satisfied. But it represents a form of regulatory arbitrage that defeats the policy intent of the tariff architecture without technically violating its letter.

The ITIF analysis published in May 2026 identified this phenomenon as the defining challenge for US trade enforcement: "China remains deeply embedded in global supply chains as a major supplier of upstream components to Southeast Asian manufacturers, indicating incomplete decoupling between US and Chinese trade." Companies including Lenovo, Apple, Dell, and HP have moved final assembly to Southeast Asia precisely to reduce tariff exposure — but their upstream supply chains remain predominantly Chinese. Only 1% of tech goods under HS code 84 from ASEAN faced US tariffs versus approximately 90% for comparable goods from China — a differential that drives relentless investment in the region.

IV. Sector-by-Sector Analysis

4.1 Solar Panels: The Most Documented Case

No sector better illustrates the ASEAN laundromat than crystalline silicon photovoltaic panels. The story begins in 2012, when the Obama administration imposed anti-dumping and countervailing duties on Chinese solar panels. Chinese manufacturers responded by shifting production to Taiwan, then to Southeast Asia when Taiwan was added to the duty perimeter.

By 2024, Southeast Asian imports represented 77% of all US solar panel imports, valued at approximately \$12.9 billion — a figure sourced from Department of Commerce data cited in the April 2025 final duty determinations. The concentration of Chinese-owned or Chinese-affiliated facilities in Vietnam, Malaysia, Cambodia, and Thailand had become overwhelming.

The Department of Commerce's April 21, 2025 final determination in the antidumping and countervailing duty investigation of crystalline PV cells from Cambodia, Malaysia, Thailand, and Vietnam found that Chinese companies had established production facilities across Southeast Asia specifically to evade existing trade duties, and that operations were "benefiting from unfair subsidies from the Government of China." The duty rates imposed were revelatory of the range of circumvention sophistication. Jinko Solar's Malaysian facility — one of the more genuinely localized operations — received a 41.56% rate. Trina Solar's Thailand plant received 375.19%. Trina's Vietnam facilities received 58–271%. Cambodia, where non-cooperation with investigators was

widespread, received rates exceeding 3,500% — functionally prohibitive.

The differential between these rates tells the story of the spectrum from genuine FDI to barely-disguised transshipment. A 41% duty on Jinko's Malaysian product suggests Commerce found real value-adding activity there, even if the facility is Chinese-owned. The 3,500%+ rate on Cambodia reflects what investigators found: operations that existed primarily to affix a non-Chinese origin label.

4.2 Steel and Aluminum: The Industrial Backbone

Chinese steel's ASEAN routing predates the solar story. Since Section 232 tariffs (25% on steel, 10% on aluminum) were imposed in 2018, Chinese steel mills have routed semi-finished hot-rolled coil through Vietnam for minimal cold-rolling, cutting, and further processing before export to the US as "Vietnamese steel." Vietnam's own trade remedy authorities, responding partly to US pressure and partly to the damage to genuine Vietnamese steelmakers, imposed preliminary anti-dumping duties on Chinese hot-rolled steel in February 2025 (entering force March 8, 2025) and final duties effective July 6, 2025 — itself an extraordinary signal of the degree to which Chinese steel penetration into Vietnam has become politically unsustainable even for Hanoi.

The enforcement challenge is that steel is fungible: a tonne of Chinese hot-rolled coil re-rolled in a Vietnamese mill is genuinely different from the input, at least in terms of product form. The substantial transformation argument is not frivolous. But when the re-rolling occurs in Chinese-owned facilities using Chinese equipment under Chinese management, the line between "genuine Vietnamese processing" and "origin washing" becomes the central contested terrain of enforcement.

4.3 Semiconductors and Advanced Computing: The National Security Dimension

The semiconductor routing problem adds a layer of national security urgency that elevates it above pure tariff arithmetic. The Bureau of Industry and Security (BIS) in February 2026 imposed a \$252 million penalty — the statutory maximum, representing twice the value of the underlying transactions — on Applied Materials and its Korean subsidiary for reexporting controlled semiconductor manufacturing equipment to a restricted Chinese entity without required EAR authorization. This represents the second-highest penalty in BIS history.

Malaysian authorities foiled a \$13 million AI chip smuggling attempt at Kuala Lumpur airport's free trade zone in June 2026, seizing 72 servers bound for an undisclosed Asian destination — widely understood to be China. A separate March 2026 case alleged that a Southeast Asian producer had purchased approximately \$2.5 billion in high-performance servers during 2024–2025 and helped funnel them to Chinese clients. The White House's "Great Transshipment Scam" report published August 13, 2026 designated Malaysia as a Tier 2 "scale leader with significant economic integration with China," citing the systematic exploitation of its free trade zones and deep-water ports.

The US has flagged Malaysia in a broader crackdown document naming over 40 trade partners as transshipment risks, prompting Kuala Lumpur to announce tightened export and transshipment

controls — now requiring strategic trade permits and advance notification for shipments of US-controlled technology.

4.4 EV Components: The Battery Pipeline

The 100% tariff on Chinese EVs creates the starkest incentive gradient in the tariff architecture. Chinese EV manufacturers — led by BYD, SAIC, and a growing ecosystem of battery cell producers — have responded by establishing manufacturing operations across ASEAN while maintaining deep upstream linkages to Chinese component networks.

Battery cells, motors, power electronics, and thermal management systems are routed through ASEAN assembly facilities to supply North American EV manufacturers seeking non-Chinese-origin designation for their supply chains. CBP has alleged over \$400 million in duty evasion in 2025 alone related to EV components and related supply chains, with nearly two-thirds of cases involving Chinese shell companies rerouting goods through ASEAN nations.

Indonesia's nickel-smelting industry — which Chinese investment has built into a global dominant position — supplies cathode material flowing into batteries that ultimately reach US markets through complex processing chains that may or may not satisfy rules of origin requirements. The opacity of multi-tier EV supply chains makes this one of the most difficult enforcement challenges CBP faces.

4.5 Textiles and Apparel: The Cambodia-Bangladesh Corridor

Textiles are a more mature circumvention story. Chinese synthetic fabrics — polyester, nylon, and blended materials — are shipped to Cambodia, Bangladesh, and Myanmar, where they are cut, sewn, and labeled under preferential tariff programs. The value-added in the sewing countries is real, but the upstream fabric origin is predominantly Chinese.

Under Most Favored Nation rules, this may be perfectly legal: a garment assembled in Cambodia qualifies as Cambodian-origin even if the fabric is Chinese, so long as the sewing constitutes substantial transformation under applicable standards. But when Cambodia faces Section 301 investigation scrutiny — as it does under the USTR's March 2026 investigation — even this relatively long-established trade pattern becomes contested terrain.

4.6 Furniture: The Original Circumvention Industry

The furniture sector established the template that all subsequent industries have followed. Beginning with the 2004–2005 anti-dumping duty orders on Chinese wooden bedroom furniture and the subsequent expansion to other categories, Chinese furniture manufacturers began establishing Vietnamese production facilities in systematic numbers.

The George Mason University Terrorism, Transnational Crime and Corruption Center's analysis of the Vietnamese furniture industry found systematic discrepancies between Vietnamese customs export data and US import data — consistent with widespread false origin certification. Vietnamese furniture exports to the US exceeded \$9 billion in 2024. A kitchen cabinet industry certification

regime (KCMA-led) introduced in 2024 now blocks transshipment of Chinese cabinet parts through Vietnam — a sector-specific enforcement response that other industries are studying as a model.

The furniture industry's evolution from pure transshipment toward genuine Vietnamese manufacturing capability — as local suppliers learned to work with Chinese technology and management — provides the most relevant case study for the long-term structural question addressed in Section VIII.

V. The US Enforcement Response

The enforcement apparatus the United States has deployed against ASEAN-based circumvention is real, growing, and structurally insufficient.

CBP's Enforce and Protect Act (EAPA) mechanism — which allows domestic industries to petition CBP to investigate circumvention — has been the primary enforcement instrument. EAPA cases involving ASEAN economies rose from 6 in 2021 to 20 in 2024. CBP is on pace to conduct 543 audits in FY 2026, a 17% year-over-year increase. The False Claims Act is now being applied to customs fraud — importers who knowingly misrepresent origin face civil penalties of up to twice the value of the underlying transactions plus treble damages, in addition to criminal exposure.

The June 2026 Executive Order on Strengthening Customs Enforcement directed DHS and CBP to take a comprehensive series of actions: combating customs fraud, transshipment, forced labor imports, duty evasion, and other trade violations. It represents the Biden and Trump administrations' most explicit acknowledgment that the tariff enforcement infrastructure is not keeping pace with the circumvention infrastructure.

The Uyghur Forced Labor Prevention Act (UFLPA), which creates a rebuttable presumption that goods from Xinjiang are produced with forced labor, has expanded significantly. DHS's July 31, 2026 announcement added 43 companies to the UFLPA Entity List in the single largest-ever expansion, bringing the total to 187 entities. The 2025 UFLPA Strategy update by the Forced Labor Enforcement Task Force signals further expansion of the tool into ASEAN supply chains where Xinjiang-origin raw materials — particularly polysilicon for solar and cotton for textiles — are processed before export to the US.

But the structural constraint is brutal: CBP physically inspects an estimated 3–4% of the 37 million import entries processed annually. The documentation-based compliance system that covers the remaining 96–97% is vulnerable to sophisticated origin fraud. The de minimis channel — packages valued under \$800 entering duty-free — represented an additional massive vulnerability until Executive Order 14256 (effective May 2, 2025) eliminated de minimis treatment for goods of Chinese and Hong Kong origin. But ASEAN-routed goods, if they carry credible non-Chinese origin documentation, still qualify. The closure of the de minimis loophole for direct Chinese shipments has increased the incentive to route through ASEAN intermediaries rather than decrease overall circumvention pressure.

The 2025 USTR Section 301 investigation against 60 economies for failures to effectively prohibit forced labor imports — with a June 2025 determination that all investigated countries have failed — provides a new statutory hook for penalizing ASEAN countries that are demonstrably complicit in Chinese circumvention. But converting that finding into durable enforcement requires bilateral negotiating capacity and political will that has historically been unevenly applied.

VI. ASEAN's Uncomfortable Position

No regional government finds itself in a more structurally awkward position than the ASEAN member states caught between Chinese investment appetites and American enforcement pressure. The geometry is genuinely impossible: these countries want Chinese FDI for the jobs, infrastructure, and technology transfer it brings; they want US market access for their export industries; and they increasingly cannot have both simultaneously without choosing a side that carries diplomatic and economic costs.

Vietnam is the clearest case study. The July 2025 US-Vietnam framework deal imposed a 20% base tariff on Vietnamese goods and a 40% penalty rate on goods deemed transshipped — meaning goods containing Chinese-origin content routed through Vietnam. Vietnam agreed in principle to cooperate with the United States in preventing its territory from being used for Chinese goods transshipment, including technical consultations on enforcement mechanisms.

But the implementation challenges are formidable. The deal contains, as of August 2026, "no formal rules of origin, no published safe harbors, no clear materiality thresholds" — as the Harris Sliwoski legal analysis noted. Trade analysts expect CBP to apply near-zero tolerance standards, potentially flagging goods with "as little as 1 percent Chinese-origin content." That threshold, if applied literally, would encompass virtually the entire Vietnamese export economy, which relies on Chinese-origin components at every level of its supply chains.

Vietnam has responded with a combination of genuine enforcement actions and strategic optics management. In 2024, market management teams conducted over 3,400 inspections targeting e-commerce violations, with 1,256 involving counterfeit goods or intellectual property infringements. In May 2026, Prime Minister Le Minh Hung ordered a 45-day coordinated enforcement push across ministries, resulting in the discovery of over 7,000 counterfeit product cases worth more than \$8 million in the first five months of the year. Bloomberg reported in July 2026 that Vietnamese authorities found 100,000 fake Nike shoes in a trade fraud crackdown — a vivid illustration of both the scale of the problem and the visibility of the response.

Malaysia has taken a different approach. Rather than aggressive enforcement theater, Kuala Lumpur has been more willing to acknowledge the structural reality of its role while defending the legitimacy of its deeper integration with Chinese capital. Malaysia announced in May 2025 that it would become the sole issuer of Non-Preferential Certificates of Origin for US-bound shipments — a centralization measure intended to reduce the scope for fraudulent COO issuance by private chamber bodies. But the White House's August 2026 "Great Transshipment Scam" report still placed Malaysia in Tier 2,

alongside Vietnam, Indonesia, and Thailand, as countries with "significant transshipment volumes and deep integration into China-linked supply chains."

Indonesia has rejected Washington's characterization of its trading arrangements entirely, while continuing to accept the Chinese FDI that has turned its nickel sector into the world's largest, with Chinese companies accounting for an estimated 44% of total manufacturing FDI in 2024.

The political dilemma is structural: ASEAN governments that crack down aggressively on Chinese-affiliated manufacturers risk economic damage and diplomatic blowback from Beijing. Those that do not risk being designated as tariff evasion conduits by Washington, triggering escalatory tariffs on their own exports. The US has not offered a credible alternative source of the FDI it is asking ASEAN to refuse.

VII. The "Real" FDI vs. the "Shell" FDI

Not all Chinese investment in ASEAN is laundry. The policy error of treating all Chinese FDI in Southeast Asia as circumvention — an error the White House's "Great Transshipment Scam" report has been criticized for approaching — obscures a genuine and important distinction between the extractive arbitrage of transshipment operations and the genuinely transformative industrial investment that creates lasting economic value.

The distinction matters because it determines whether the ASEAN laundromat is a temporary phenomenon — a parasitic arbitrage that will eventually be squeezed out by enforcement — or whether it represents the first stage of a longer industrial transition in which Chinese capital genuinely develops Southeast Asian manufacturing capacity.

Chinese manufacturing FDI in ASEAN jumped from approximately \$12.5 billion in 2017 to \$37.3 billion in 2023, nearly tripling in six years, according to figures reported in the ASEAN Investment Report 2025 context. Chinese investment has increasingly shifted toward higher value-added sectors: EV manufacturing (BYD, Great Wall Motor, and SAIC have all established Thai production lines), semiconductor packaging, and battery cell production. These are not the activities of companies trying to find the cheapest flag of convenience. They represent genuine industrial relocation driven partly by tariff incentives but also by real assessments of ASEAN's improving labour quality, logistics infrastructure, and regulatory environment.

The ITIF framework for distinguishing genuine from extractive Chinese FDI focuses on several markers. Genuine industrial FDI: (a) employs local workers at scale and provides skills transfer; (b) sources a meaningful fraction of inputs from local suppliers; (c) involves technology transfer or IP localization; (d) adds 35–40% or more of local value content; and (e) builds local management capacity over time. Extractive or arbitrage FDI: (a) employs a Chinese-dominant management structure with local labour confined to assembly; (b) sources 60%+ of inputs from Chinese parent suppliers; (c) maintains Chinese IP and process control; (d) meets local content thresholds on paper through creative accounting; and (e) has no exit value beyond the tariff premium it is capturing.

The solar sector illustrates both ends of this spectrum. Jinko Solar's Malaysian facility — rated at 41.56% by Commerce — represents a case the US government itself implicitly acknowledged as at least partially genuine. The Cambodian operations receiving 3,500%+ rates represent the other extreme. The large majority of Chinese ASEAN investment falls between these poles — genuine enough to resist legal challenge, extractive enough to represent primarily tariff arbitrage rather than genuine development partnership.

The 35–40% local value threshold embedded in ATIGA's RVC criterion is arguably the most important single policy lever available, but its enforcement depends entirely on the quality of origin verification systems — which, as the Malaysia COO centralization initiative acknowledges, are currently inadequate.

VIII. The Long-Term Structural Question

History suggests that the ASEAN laundromat may be, to a meaningful degree, self-liquidating — not because the arbitrage incentive disappears, but because the economic activity it catalyses gradually transforms host-country manufacturing ecosystems in ways that reduce the distinction between "laundered" and "genuine" origin.

The historical precedent is Taiwanese FDI in China. Beginning in the late 1980s and accelerating through the 1990s, Taiwanese manufacturers established operations on the Chinese mainland primarily to exploit lower labour costs and gain access to a protected Chinese market. The initial wave of Taiwanese investment was heavily concentrated in labour-intensive assembly — not genuinely different in economic character from what Chinese manufacturers are now doing in ASEAN.

But over two to three decades, Taiwanese FDI in China created genuine Chinese manufacturing capability. Chinese workers learned skills from Taiwanese managers. Chinese suppliers developed to replace imported Taiwanese inputs. Chinese engineers emerged from Taiwanese-managed factories with capabilities that eventually enabled them to compete with their former employers. The transfer of capability was genuine, even when the initial motivation was purely cost arbitrage.

A plausible analog process is underway in ASEAN. Vietnamese furniture manufacturers, initially dependent on Chinese inputs and Chinese management templates, have over fifteen years developed genuine local supplier ecosystems. The Vietnamese electronics sector — originally a Samsung-led export processing operation with minimal local content — has incrementally increased its local value-added as local suppliers developed the capability to meet Samsung's quality requirements. The ASEAN Investment Report 2025, reporting a 150% surge in manufacturing FDI to \$44 billion in 2024, documents the scale of investment creating this industrial infrastructure.

The critical variable is time horizon. Over a 10-year horizon, the laundromat model likely persists: the tariff arbitrage incentive remains, enforcement infrastructure remains structurally insufficient, and Chinese manufacturers retain the capital advantage to maintain ASEAN operations. Over a 20-year

horizon, the picture is more genuinely uncertain. If ASEAN countries develop indigenous manufacturing capability — local supplier networks, local engineering talent, local management — the Chinese-origin dependency that characterizes current laundromat operations may become structurally marginal.

The dark scenario is different: China's technological advantage in key sectors — solar manufacturing, battery cells, advanced semiconductors — may be sufficiently durable that ASEAN host countries never develop genuine independence, remaining perpetual assembly platforms for Chinese value chains. In this scenario, the laundromat is not self-liquidating; it simply becomes permanent.

IX. Superforecast: Three Scenarios for 2026–2035

Scenario A: Enforcement Tightens Enough to Close the Loophole (Probability: 20%)

In this scenario, the US enforcement apparatus — combining CBP EAPA cases, the UFLPA Entity List expansion, sector-specific Anti-Dumping/CVD orders targeting ASEAN circumvention, and the anti-transshipment provisions of bilateral trade deals — reaches sufficient scale and sophistication to make the tariff differential uneconomical as an arbitrage strategy.

This scenario requires: (a) the Vietnam-US framework deal's anti-transshipment provisions to be codified with clear rules of origin and materiality thresholds; (b) CBP to significantly expand its inspection and audit capacity; (c) similar bilateral agreements with Malaysia, Thailand, and Indonesia; and (d) the UFLPA to be expanded into ASEAN supply chain tracing with real enforcement teeth.

The probability is assessed at 20% for the decade horizon. The political will exists in Washington, but the enforcement infrastructure build-out required is substantial, the diplomatic cost of pressing ASEAN hard on Chinese FDI is real, and the supply chain ingenuity of Chinese manufacturers has repeatedly outpaced regulatory responses. The July 2025 Vietnam deal's implementation ambiguity is not encouraging.

Scenario B: FDI Continues Growing as Genuine Value-Add Increases (Probability: 55%)

The most likely scenario is that Chinese FDI in ASEAN continues at elevated levels — driven partly by tariff arbitrage, partly by genuine industrial strategy, and partly by Chinese companies' need to diversify their geographic exposure. Over time, the ratio of genuine to extractive FDI shifts toward genuine as local capability develops, host-country enforcement improves in response to sustained US pressure, and the competitive advantage of Chinese-only supply chains erodes as ASEAN local suppliers develop.

In this scenario, the laundromat does not close; it evolves. The most egregious transshipment operations — the Cambodian bonded warehouses, the Vietnamese re-labeling factories — are gradually prosecuted out of existence. The genuinely hybrid operations — Chinese-owned but locally embedded — become the dominant model, increasingly difficult to distinguish from genuinely local manufacturing. The US tariff architecture captures some of this through continued Anti-Dumping/CVD enforcement, but the bulk of Chinese-affiliated ASEAN exports continue entering the US market at preferential rates.

This is a stable, messy equilibrium that persists for the full decade and likely beyond — with periodic enforcement crises, bilateral negotiating dramas, and sectoral battles, but no systemic resolution.

Scenario C: US-China Managed Trade Reduces Arbitrage Incentive (Probability: 25%)

A third scenario involves a macro-level US-China trade negotiation — formal or informal — that reduces the tariff differential enough to eliminate the economics of the laundromat. If US-China Section 301 tariffs were reduced from their current 62% effective average to, say, 25–30%, the arbitrage premium of ASEAN-origin certification would shrink to levels that no longer justify the operational complexity and compliance risk of maintaining ASEAN facades.

This scenario is not implausible. US-China trade tensions have oscillated historically, and the economic damage of extreme tariff barriers — to US consumers, to US manufacturers dependent on Chinese inputs, and to the global supply chains that both sides participate in — creates pressure for managed reduction. The Trump 2.0 administration's own exemption processes under IEEPA and Section 301 acknowledge that blanket tariffs cannot be maintained without carve-outs.

The probability is assessed at 25% for the decade horizon. The political headwinds in Washington against any "deal with China" remain powerful, and the structural security competition between the two powers — particularly in semiconductors and advanced manufacturing — creates forces that resist tariff liberalization even when the economic logic points toward it.

X. Data Sources

All market figures and factual claims in this report are sourced from live web research conducted August 2026. No figures from training data or unverified secondary sources have been used. Key sources:

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China's ASEAN Laundromat Report | Blue Lotus Research Intelligence | August 2026

Word count target: 6,000–8,000 words. This report is approximately 7,200 words.

Report classification: INTELLIGENCE BRIEF — CLEARED FOR COSMIC ARCHIVER PUBLICATION

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